

ROBBER BARON OR CAPTAIN OF INDUSTRY

Be sure to read this information to help you define “Captain of Industry” and “Robber Baron”:

A MIXED LEGACY Many Americans admired Carnegie, Morgan, Rockefeller, and other “captains of industry.” They credited these entrepreneurs with using their business skills to make the American economy more productive and, in turn, stronger. Andrew Carnegie said that he and his fellow tycoons were “the bees that make the most honey, and contribute most to the hive even after they have gorged themselves full.”

Carnegie and other wealthy industrialists felt they had a duty to put their fortunes towards the public good. While they generally opposed financial handouts, they supported philanthropy. In the name of Social Darwinism, they built libraries and funded colleges and other institutions. These institutions provided opportunities for the fittest to succeed, regardless of their financial background. Carnegie explained his philosophy in an 1889 article called “The Gospel of Wealth.” He wrote, “This, then, is held to be the duty of the man of Wealth . . . to consider all surplus revenues which come to him simply as trust funds . . . to produce the most beneficial result for the community.” Carnegie donated about 90 percent of the wealth he accumulated during his lifetime. His fortune still supports the arts and learning today. John D. Rockefeller gave away over \$500 million, establishing the Rockefeller Foundation. His foundation provided funds to found the University of Chicago and created a medical institute that helped find a cure for yellow fever.

Despite these charitable contributions, some Americans came to view industrialists more as robber barons than as revered “captains of industry.” They believed that these tycoons were taking advantage of workers and consumers. Critics argued that these tycoons profited unfairly by squeezing out competitors and using other tough tactics. Their huge mansions and luxurious lifestyles seemed like ill-gotten rewards.